

Nexus Bank: Master Credit Policy & Underwriting Guidelines

1. General Loan Eligibility & Credit History

- **Credit History Requirement:** All applicants must possess a verified Credit History score of 1.0 (representing 'Good Standing') to be considered for primary loan products. Applicants with a Credit History of 0.0 (representing 'Default/Bad Standing') are subject to automatic rejection unless an override is approved by the Chief Risk Officer.
- **Age Requirement:** The primary applicant must be at least 21 years of age at the time of application and no older than 65 years at the time of loan maturity.
- **Residency:** Applicants must be legal residents or citizens with verifiable addresses for the past 24 months.

2. Income & Financial Assessment

- **Minimum Income Threshold:** The combined total income (Applicant Income + Co-applicant Income) must exceed \$10,000 annually.
- **Debt-to-Income (DTI) Ratio:** The applicant's total monthly debt obligations, including the projected new loan payment, must not exceed 40% of their gross monthly income.
- **Employment Stability:** Salaried applicants must show continuous employment for the last 12 months. Self-employed applicants must provide audited financial statements for the past 24 months.

3. Loan Limits & Terms

- **Maximum Loan Amount:** The maximum allowable loan amount for standard personal and property applications is \$500,000 (represented as 500 in the system).
- **Income-to-Loan Multiplier:** As a strict underwriting rule, the combined Applicant and Co-applicant income must be greater than 10 times the requested Loan Amount. Applications failing this ratio require heavy collateral.
- **Loan Term Limits:** The standard maximum loan term allowed is 360 days. Short-term loans are available in increments of 120, 180, and 240 days.

4. Property Area & Collateral Rules

Property location heavily influences the required down payment and risk assessment:

- **Urban Properties:** Due to higher market volatility, loans secured against Urban properties require a strict minimum 20% down payment from the applicant's own funds.
- **Semiurban Properties:** Require a 15% minimum down payment.
- **Rural Properties:** To promote rural development, loans secured against Rural properties require only a 10% down payment, provided the applicant holds a Graduate-level education.

5. Automatic Rejection Criteria (Red Flags)

An application must be immediately declined by the underwriting team if any of the following are detected:

- The applicant has an active bankruptcy filing within the last 5 years.
- The application contains fraudulent, mismatched, or unverified identity documents.
- The applicant requests a loan term exceeding 360 days.
- The applicant's total calculated income is less than \$10,000.